

In 2001, the introduction of downloadable games and colour screens on mobile devices has brought wireless games into mass markets. Suddenly, consumers were willing to start purchasing small chunks of entertainment to broaden their game selections on the mobile devices. In addition, mobile phones are constantly developing towards small microcomputers—smartphones and thus game play is nowadays much richer than the simple Snake-like-gaming used to be. 3D-graphics and natural sounds are entering also wireless games.

Nokia has continued to pioneer in the field of wireless gaming. In 2003, it introduced its N-Gage game deck and wireless online gaming with N-gage Arena. This device is a full-scale game console with changeable cartridges and smartphone functionalities. In addition, the N-Gage started a new era in online gaming—the device and some of its game titles are linked into a game server via GPRS networks and thus enable group games in an online community. Furthermore, N-Gage has Bluetooth gaming functionalities for short-range (~ 10 m) group games. The N-Gage launch was carried out with large scale. Yet, there are still no guarantees of business success of the device. Nevertheless, the N-Gage has created increasing interest towards mobile games and Nokia's competitors (e.g. Sony) are also planning on similar activities in the handheld game device markets.

The gaming business (including PC, console and mobile games) is currently evaluated to total \$20 billion. Mobile game business comprises approximately 0.9 billion euros—5 per cent of the total game markets. Yet, the growth rates within this area are forecasted to be very strong. Analyst predictions on the total future volume of mobile game business vary from one analyst to another.

Strategy Analytics predicted that the mobile game market would grow to \$7 billion by 2008. The ARC Group forecast that number of worldwide mobile game users will grow from 196 million in 2002 to 667 million in 2005. Informa Media Group has stated the mobile games segment of the video games industry would comprise